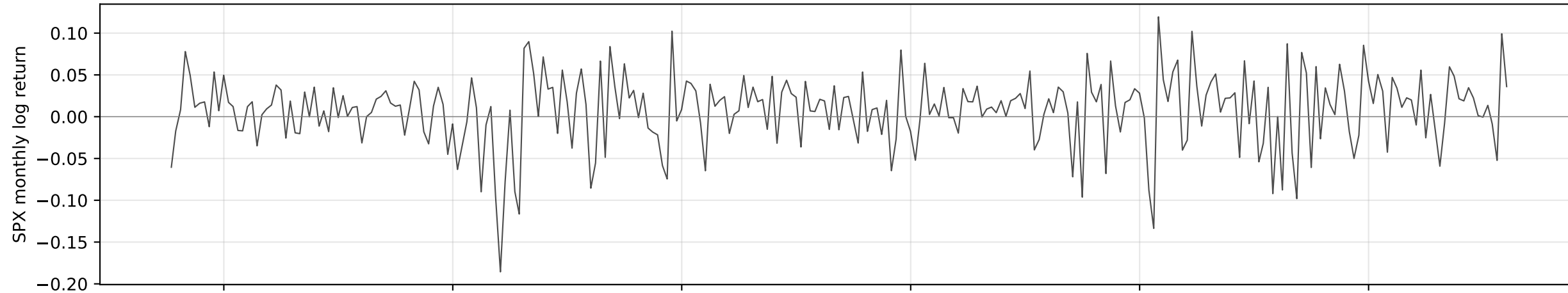
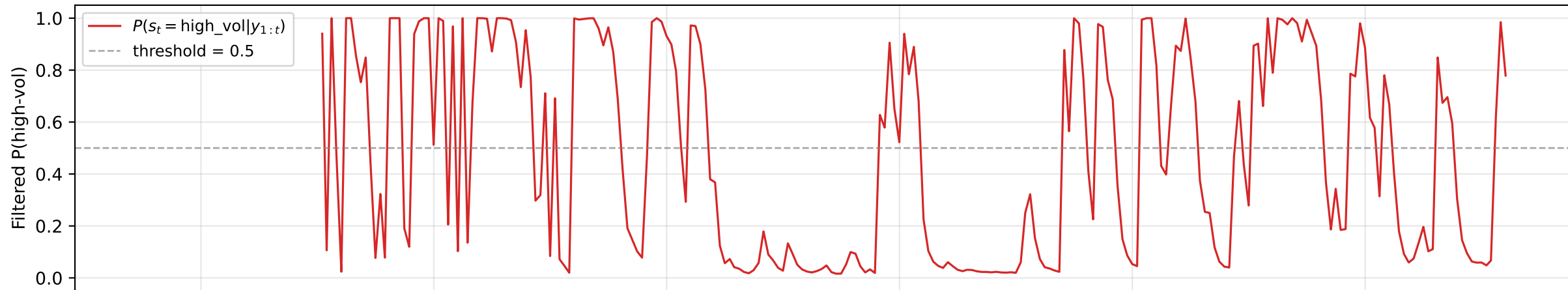


R3b: Hamilton (1989) MS-AR(1) Baseline (TC = 10 bps, burn-in = 36 months)

Monthly SPX log returns (input to MS-AR(1))



MS-AR(1) filtered probability of high-volatility state (rolling expanding-window)



Cumulative wealth: Hamilton_MS_AR1 vs Static 60/40 (red shading = risk-off periods)

